

INSTITUTE OF ACTUARIES OF INDIA

EXAMINATIONS

21st November 2024

SA4 - Pensions and Other Benefits

Time allowed: 3 Hours 15 Minutes

Total Marks: 100

- Q. 1)** An Indian Company is offering a final salary pension scheme with the pension benefit of 50% last drawn salary to the employee for life. Pension vests after 20 years of service and begins at age 60 years. The scheme has been in operation for almost 50 years now and has ~5,000 pensioners and ~10,000 employees. 1,000 of these pensioners are above 70 years of age.

The trustees have observed that amount of monthly pension drawn by many of the older members is less than INR 5,000. They intend to offer the members aged above 70 years an option to commute their pension for lumpsum.

- i. Discuss the pros and cons for the sponsoring company, trustees and member of such an option. (9)

Company has approached you (an independent actuary) for preparing the commutation table.

- ii. Describe in detail the data required for estimate, method of estimating the table and any other considerations while preparing such a table, considering the economic and market situation in India. (6)

Your advice was implemented by the company on 1st June, 2023. The funded status before and after the payment of commutation benefits was 97% and 95% respectively.

Some of the members used the lumpsum to buy annuities from insurer. The amount of pension offered to them was slightly higher than the pension received under the scheme.

- iii. Outline possible reasons for such a scenario where any member could have secured higher annuities than the benefits offered under the scheme. (4)

The other pensioners are now demanding an increase in pension by 10%. The company has approached you again for advice on feasibility of such an increase.

- iv. Discuss the points that you will cover in preparing response to such a query. The response should include details about process of determining financial feasibility as well as any other practical considerations. (8)

The company was able to negotiate a one-time 5% increase in pension for existing, continuing pensioners and additionally, they are also considering to increase the accrual rate for active employees by 5% to 52.5% instead of 50%. . The company follows Indian financial year for accounting and follows Ind AS 19 reporting. The change in scheme is implemented on 01st September 2023.

You are now expected to prepare an IND AS19 report for the financial year ending 31st March, 2024.

- v. Describe in detail how you can compute the impact on various items of employee benefit costs due to the above mentioned commutation as well as these newly accepted design changes. (10)

Company is considering to reduce the Defined Benefit pension benefits given that the employee can receive pension benefits under other schemes available for all the companies in India.

- vi. Identify and describe the features of other statutory and voluntary pension schemes applicable for companies in India (9)

[46 Marks]

- Q. 2)** You are an actuary to an Indian company offering generous employee benefits. One such benefit offered by this company is Post Retirement Medical Benefit (PRMB) to all the employees retiring from the Company at age 58 years until death.

The details of the benefit are given below –

- Hospitalisation benefit – Employees and their spouses are covered for hospitalization expenses upto INR 500,000 per annum. The company buys a floater family group health insurance policy for this benefit every year. The average premium paid by the Company for each family (self and spouse) in 2023 was INR 63,000 including taxes.
- Domiciliary benefit – Expenses upto INR 50,000 per family per annum is paid directly by the company on reimbursement basis.

The new CFO has raised a query to you as to why this benefit should be provisioned for actuarially for both active employees (who will be eligible on retirement) and for the retired members who are currently receiving this benefit. This thought has stemmed from the fact that the hospitalization benefit provided to employees in-service is not actuarially valued by the Company.

- Please respond to the above query by the CFO providing relevant references to the Indian accounting standards. (6)

Further, the CFO would like to understand the liabilities and expense of the scheme better, i.e. how are they computed and what parameters are used for the calculations.

- Draft a note highlighting the data, key assumptions and methodology used for valuing the above PRMB scheme liabilities under IND AS19 accounting standards. (16)

In FYE2024, there were more than usual hospitalization claims by the retired members which led to a high loss ratio for the insurance company. When the insurance policy expired on 31st March 2024, the renewal quote by the Insurance Company was 40% higher than 2023 while the medical inflation assumed in the actuarial valuation is 8% p.a. The duration of the liability is about 20 years. The auditors have asked the management to align the assumptions pertaining to the hospitalization benefit with the actual experience of the scheme.

- Describe the considerations while setting the relevant assumptions for the next actuarial valuation of the scheme. (6)

Management is keen to know the impact on accounting disclosures due to the increase in premiums and the proposed changes in assumptions.

- Prepare a note to the Management highlighting the material changes to the IND AS19 disclosures for FYE24 along with the approximate monetary impact. (6)

The Company is now worried about the fast growing medical inflation rate in India, increasing longevity and hence the unsustainable cost of the unfunded scheme.

- Outline ways to de-risk the PRMB scheme for both categories of employees – retired members and active employees. Also highlight the pros and cons of each de-risking suggestion for both employer and affected members. (12)

The company intends to fund this plan and the target funding ratio in next 5 years is 100%. You are approached to help them with a funding strategy.

- Describe the considerations while creating a contribution plan and the asset allocation for the fund over the next 5 years. (8)

[54 Marks]
